

How Long Is a Signal Good For

Two levels broke on Tuesday. One had a reason behind it and one did not, and that difference decides what can be acted on.

THE READING

Tuesday closed green across the four US indices. The S&P 500 finished at 7,677.28, up 0.32%; the Nasdaq Composite up 0.66%; the Philadelphia semiconductor index up 1.44% and still 20.93% below its own high. Underneath the green, two levels gave way.

WTI crude fell 3.12% to \$82.36 on a \$5.61 intraday range after Washington signalled sanctions on Iran rather than strikes, breaking published TRADE and TREND lines at \$84 and \$83 in a single session. The ten-year yield followed it down 7.7 basis points to 4.623%, through the floor of its own band. And the two-year, called bullish above 4.20% on Tuesday evening, closed at 4.176% — back under the line within hours of the line being drawn.

WHAT WISDOM WOULD SAY

Philip Tetlock spent two decades scoring forecasts against outcomes and found that accuracy tracked one habit above the others: updating often, in small increments, and treating a call as perishable rather than owned. The failure he documented was not stupidity. It was ownership. A forecaster who has said something in public defends it, and the defence costs more than the error would have.

Apply that to Tuesday. Two levels broke, and they are not the same kind of break. Crude broke on a stated cause — financial pressure substituted for military pressure, which removes a supply-disruption premium rather than adding one. A break with a mechanism behind it has a shelf life you can estimate, and it runs until the mechanism is contradicted. The two-year broke on nothing anyone named. It crossed a line, was declared bullish, and crossed back before the session it was announced in had closed. That is not a signal with a short life. It is a signal that never had one, and the honest response is to demote it rather than argue it back.

THE RISK IT JUSTIFIES

The inference that followed the two-year call was that the Treasury steepener had become less attractive. That inference is now unsupported. Rebuilding around it today means building on a premise that expired the same evening it was made. Leave the curve position where it is and do not add in either direction on Tuesday's move.

Crude is the different case. The break has a named cause, so it can be carried. But the reference moves with it: from here the number that matters is the risk-range floor near \$80.13, not the \$83 and \$84 lines that have already gone. Anything sized off the broken lines is sized off history.

What would change this: a two-year close back above 4.20% that survives a second session, or WTI closing back above \$83 without a reversal in the sanctions posture. Either would restore a mechanism. Neither has happened.

Which of your positions rests on evidence you would not accept if you heard it for the first time this morning?